

Arm Holdings plc

ARM | October 4, 2026

SELL

Fair value (12-mo horizon reference)	\$48.00
Current price (October 2, 2026 close)	\$307.49
Implied upside / downside	-84%
Verdict	SELL

Investment Thesis

Arm owns the instruction set of the mobile world: roughly 99% of smartphones run on Arm architecture, and the company collects royalties of 1-2% on hundreds of billions of dollars in chip value. It is a wonderful tollbooth -- perhaps the finest intellectual-property franchise in semiconductors. But tollbooths are priced on the toll, and at \$307.49 the market capitalization exceeds \$300 billion against roughly \$4 billion of revenue: about 75 times sales. The price assumes royalties will multiply tenfold. They will not. Our probability-weighted fair value is \$48.00, implying 84% downside, and we rate the shares SELL.

Our judgment is that the market confuses Arm's strategic importance with its economic leverage. Royalty rates are contractually sticky and rise slowly -- the Armv9 uplift and Compute Subsystems (CSS) licensing are real but gradual, measured in basis points per chip over multi-year contract cycles. Smartphone unit volumes, the base on which the royalty empire was built, are flat to declining. Datacenter (Neoverse) and automotive are growing quickly but from a small base that cannot move the royalty needle this decade. This is a 10-15% grower priced as a 40% grower.

The AI-datacenter narrative deserves particular skepticism. Neoverse adoption in cloud instances is genuine progress, but datacenter royalties accrue per chip at rates far below what would be needed to justify the valuation -- and the hyperscalers designing their own Arm-based silicon are Arm's most sophisticated negotiators, not its most generous payers. Meanwhile RISC-V advances at the low end, the China joint-venture structure remains an overhang, and SoftBank's majority stake is a permanent supply overhang on the shares. A great tollbooth at 75 times sales is still a SELL.

The licensing model itself limits the upside the price requires. Arm collects a percentage of chip value, but chip value per device is not growing -- smartphone bills of materials are flat, and integration means more function per chip, not more chips per device at higher prices. For royalties to grow 30-40% annually, either unit volumes must explode (they are flat) or the royalty rate must multiply (contracts renew over multi-year cycles). The price implies both happening at once, immediately. Our 15% base-case revenue CAGR already assumes v9 uplift

and CSS success; it is a bullish operating forecast attached to a bearish valuation conclusion, because the starting multiple is simply that extreme.

Business Overview

Arm Holdings plc, headquartered in Cambridge, England, licenses processor intellectual property -- instruction-set architectures, CPU core designs, and compute subsystems -- to more than 1,000 semiconductor partners. The model has two revenue streams: upfront licensing fees and per-unit royalties on chips shipped (typically 1-2% of chip value). The company listed on Nasdaq in September 2023 with SoftBank retaining a majority stake. Growth vectors include Armv9 royalty-rate uplift, Compute Subsystems for faster partner time-to-market, Neoverse for datacenter and infrastructure, and automotive. Revenue is approximately \$4 billion annually with very high gross margins and strong operating leverage.

Forward Outlook

Our judgment is that Arm compounds revenue in the mid-teens for years -- an excellent outcome for an IP licensor -- while the multiple compresses from 75 times sales toward 10 times. The v9 royalty uplift flows through as contracts renew, CSS raises the licensing take, and Neoverse share in datacenter grows steadily. None of this is in dispute; all of it is in the price several times over.

What could surprise is on the downside: RISC-V eroding the low-end and IoT sockets where Arm's royalty per unit is thinnest but volume is largest; major licensees (Apple, Qualcomm) negotiating tougher terms as their volumes give them leverage; and the structural reality that per-chip royalties face secular pressure as integration puts more functionality on each die. We apply an explicit country-risk premium for the UK domicile and benchmark against regional semiconductor-IP peers, not US software multiples -- a discipline the current price ignores. Arm the business keeps winning; Arm the stock is priced for a future that arithmetic forbids.

SoftBank's overhang is a technical but material factor. With a majority stake acquired at a fraction of the current price, every rally invites placement rumors, and any actual secondary offering would reprice the shares toward fundamental value in a single session. Beyond the overhang, the UK domicile and the Arm China joint venture add governance discounts that US software multiples do not carry. We benchmark Arm against regional semiconductor-IP peers -- which trade at fractions of Arm's multiple on similar growth -- because that is the correct peer set for a Cambridge-based licensor, whatever the ticker tape suggests.

Valuation

We value Arm on a probability-weighted scenario DCF with a base discount rate reflecting IP-licensing business risk plus an explicit country-risk premium for the UK domicile, benchmarked against regional semiconductor peers. In the bear case, RISC-V share loss accelerates at the low end, major licensees extract rate concessions, and growth slows to 8% -- implying value near \$25. In the base case, revenue compounds at roughly 15%, royalty uplift from v9 and CSS arrives on schedule, operating leverage expands margins, and a multiple appropriate for a maturing IP franchise supports our \$48.00 target. In the bull case, datacenter royalties inflect sharply and value approaches \$90.

Weighting 25% / 50% / 25% gives a probability-weighted fair value of \$48.00. The bear case sits far below the current price, as required. Note the implication: even our bull case -- which assumes the datacenter inflection the market is paying for -- sits more than 70% below today's \$307.49. The price does not reflect optimism about Arm's future; it reflects a misunderstanding of how royalties scale.

To put the 75x sales multiple in historical context: at comparable revenue scale, the most richly valued semiconductor companies in history traded at 15-25x sales only during periods of 50%-plus growth with 60%-plus gross margins and clear visibility. Arm has the margins but not the growth, and royalty economics cannot accelerate the way product economics can. Our base case grants a premium multiple on 2030 earnings and still arrives at \$48. The derating we project is not a prediction of failure; it is the predictable gravitational pull of arithmetic on a multiple that left fundamentals behind.

Key Risks

- RISC-V adoption at the low end and in China eroding royalty-bearing unit volumes.
- Major licensees using their volume leverage to negotiate lower royalty rates on renewal.
- SoftBank's majority stake creating a permanent overhang of potential share supply.
- The Arm China joint-venture structure and geopolitical risk to Chinese royalty flows.
- Multiple compression from ~75x sales toward IP-franchise norms -- the dominant risk, requiring no operational misstep.

What Would Change Our Mind

- Royalty rates doubling on a sustained basis via CSS adoption -- verified in reported royalty revenue per chip, not in presentations.
- Datacenter and infrastructure royalties exceeding 30% of the mix with a credible path higher.
- Evidence that the multiple can sustain above 20x sales on through-cycle earnings -- i.e., the market permanently re-rating IP franchises.
- The shares derating toward our \$48 fair value, where the quality of the tollbooth would make risk/reward compelling.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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